

CITATION: McLean v. Knox, 2011 ONSC 7298

COURT FILE NO.: 07-CV-037111

DATE: 2011/12/08

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

KYLE McLEAN

Plaintiff

– and –

MATTHEW EDWARD KNOX, JUDITH
KNOX, 1197584 ONTARIO INC., carrying
on business as FINNIGAN’S
ROADHOUSE, and THE PERSONAL
INSURANCE COMPANY

Defendants

– and –

PEMBRIDGE INSURANCE COMPANY

Statutory Third Party

William J. Sammon, for the Plaintiff

Daniel Reisler and Chet Wydrzynski, for the
Defendant Finnigan’s Roadhouse

HEARD: October 14, 2011

**REASONS FOR DECISION ON THE MOTION TO REFRAIN FROM ENTERING
JUDGMENT OF ZERO DOLLARS FOR FUTURE INCOME LOSS AS DETERMINED
BY THE JURY**

R. SMITH J.

Overview

[1] The issue to be decided in this motion is whether a jury can ignore the uncontradicted defence evidence confirming a loss of future income, and award zero dollars as damages for loss of future income. Is the jury’s verdict in these circumstances devoid of any evidentiary

foundation or unsupportable in law and should I refuse to enter the jury verdict and assess the damages?

[2] The plaintiff has brought a motion under Rule 52.08(1)(c) of the *Rules of Civil Procedure*, R.R.O. 1990, Reg. 194 (“*Rules*”) asking me to refrain from entering a judgment of zero dollars as determined by the jury for Kyle McLean’s loss of future income, and for me to assess the damages.

Issues

[3] The issues to be determined are as follows:

- (1) Was there no evidence on which the jury could have found that the plaintiff would suffer zero damages for future loss of income?
- (2) Was there no foundation in law for the jury’s award of zero dollars of damages for future loss of income?
- (3) Should I assess the damages or order a new trial?

Factual Background

[4] The plaintiff was injured in a motor vehicle accident which occurred on June 4, 2005. The evidence was uncontradicted that he suffered a concussion and he suffered either three fractures or a single fracture which branched off in three directions which continued to the elbow joint and damaged and removed pieces of the cartilage in the elbow of his right arm.

[5] The uncontradicted evidence of the defendant’s experts related to the plaintiff’s loss of future income resulting from injuries suffered in the motor vehicle accident are as follows:

- (a) The defendants’ expert neuropsychologist, Dr. Munson, testified that there was no lasting effect of the second concussion. Therefore, there was evidence to support the jury’s finding that any damages from having a mild traumatic brain injury were non-existent;
- (b) The plaintiff suffered a concussion and a fracture in three areas of his elbow which extended into the joint and where some pieces of cartilage were removed;
- (c) Dr. Munson, also testified that she agreed with the following evidence from the plaintiff’s neuropsychologist, Dr. Gow:
 - (i) that the plaintiff suffered from pre-existing severe verbal learning disabilities related to having been born with a cleft palate;
 - (ii) as a result of his learning disability, the plaintiff had only completed Grade 8 and dropped out of school part way through Grade 9;

- (iii) she did not see any indication that the plaintiff was deliberately underperforming on the testing.
- (d) With regards to the damages suffered as a result of the fractures to the elbow of his right arm, the defendant's evidence was given by the orthopaedic surgeon, Dr. Axelrod, who testified as follows:
 - (i) that the plaintiff was unable to work as a roofer, as hammering with his right arm would cause damage to the elbow joint in his right arm;
 - (ii) that the fractures of his joint elbow had healed up quite nicely but that the plaintiff would be off work for two to four weeks when the metal screw that had been inserted to hold the bone together was removed. Dr. Axelrod recommended that the screw be removed to remove the pain the plaintiff was experiencing in his elbow;
 - (iii) that the plaintiff had a 5-10 per cent chance of developing osteoarthritis in his elbow joint in the future as a result of the injuries suffered, namely the triple fracture to the elbow going into the joint and the loss of cartilage.
 - (iv) the plaintiff's dominant arm was his right arm, and the chance of developing osteoarthritis would be increased if he loaded the joint by engaging in heavy lifting away from his body, which would include working as a mover;
 - (v) Dr. Axelrod further testified that the accused had lost 30-40 per cent of the strength in his right arm, leaving him with a grip strength of 90 lbs in his right arm as compared to a grip strength of 120 lbs in his left arm. The dominant arm usually has a 10 per cent greater grip strength than the non dominant arm;
 - (vi) Dr. Axelrod found that the plaintiff had some limited range of motion but this was relatively minor.

Analysis

[6] The plaintiff submits that a trial judge may refuse to enter judgment in accordance with the verdict of a jury if he or she concludes that there is either: (a) no evidence to support the finding of the jury; or (b) where the jury gives an answer to a question that in law cannot provide a foundation. Intervention by the trial judge is limited to verdicts which are bad in law or devoid of evidentiary support.

[7] The plaintiff submits that there was no evidence on which the jury could find that the plaintiff had suffered "no damages" for loss of future income because the uncontradicted evidence of both the plaintiff and the defendant confirmed that there was a substantial likelihood that the plaintiff would suffer some loss of future income as a result of the injuries he suffered in the motor vehicle accident.

[8] The defendants agree with the above test as outlined by the plaintiff but submit that a trial judge does not have jurisdiction to review and reassess a jury's award of damages. I agree with this submission, with the narrow exception of the situation where there is no evidence on which the jury could come to its conclusion or where the jury's decision has no foundation in law.

[9] The defendants submit that there was some evidence on which the jury could have determined that the plaintiff suffered no loss of future income. The main evidence relied on is the fact that he was able to work as a mover and his income tax returns show that he earned a very modest income both before and after the accident.

[10] The defendants also submit that it is too late for the plaintiff to raise this issue because he did not object to the defendants' closing submission asking the jury to award zero dollars for loss of future income. While it would have been preferable to have dealt with this issue before the jury rendered its verdict, I do not find that this prevents the plaintiff from bringing this motion.

Applicable Statute and Case Law

[11] The legislative framework starts with section 108(5)(b) of the *Courts of Justice Act*, R.S.O. 1990, c.C-43 which states that "judgment may be entered in accordance with the verdict of the jury". The case law gives a trial judge very narrow grounds for failing to enter judgment in accordance with a jury verdict.

Authority at Common Law

[12] The source of the common law test for a trial judge to refuse to accept a jury verdict is found in the Supreme Court of Canada decision of *Canadian National Railways v. Lancia*, [1949] S.C.R. 177, where Kellock J. stated at pp. 191-92 as follows:

It is of course clear that while it is for the jury to find the facts it is the function of the court to determine whether or not there is any evidence to support the findings and also to decide whether any particular answer is in law a finding of fault or negligence ...

[13] The test was summarized in *Hill v. Church of Scientology of Toronto* (1992), 7 O.R. (3d) 489 (Gen. Div.), affirmed in [1994] S.C.C.A. No. 288, Carruthers J., at paragraph 26 in the trial decision, where he set out the legal test to be applied as follows:

... a trial judge may refuse to accept the verdict of a jury only when she or he considers that there is no evidence to support the findings of the jury, or where the jury gives an answer to a question which cannot in law provide a foundation for a judgment.

[14] The narrow grounds at common law on which a trial judge may refuse to enter judgment in accordance with a jury verdict were also set out in *Fasfous v. Provigo Distribution Inc.*, [2005] O.J. No. 4668 at paragraph 14:

Accordingly, the trial judge must enter judgment consistent with the jury's findings, unless the verdict is without legal foundation or utterly devoid of evidentiary support.

[15] I find that being "utterly devoid of evidentiary support" is another way of describing circumstances where there is no evidence to support the jury's verdict.

[16] To summarize, a trial judge has an extremely narrow ability to intervene once a jury has rendered a verdict. The two circumstances at common law, based on the Supreme Court decision of *Canadian National Railways, supra*, and *Hill v. Church of Scientology of Toronto, supra*, are the following:

- (a) where there is no evidence to support the finding of the jury; and
- (b) where the jury gives an answer to a question which cannot in law provide a foundation for a judgment.

Rule 52.08

[17] Rule 52.08 sets out a number of conditions under which a trial judge can order that the action be retried or may dismiss the action. It reads as follows:

- (1) Where the jury,
 - (a) disagrees;
 - (b) makes no finding on which judgment can be granted; or
 - (c) answers some but not all of the questions directed to it or gives conflicting answers, so that judgment cannot be granted on its findings,

the trial judge may direct that the action be retried with another jury at the same or any subsequent sitting, but where there is no evidence on which a judgment for the plaintiff could be based or where for any other reason the plaintiff is not entitled to judgment, the judge shall dismiss the action. R.R.O. 1990, Reg. 194, r. 52.08(1).

[18] Rule 52.08(1) includes situations where the jury disagrees, makes no finding, answers some but not all of the questions or gives conflicting answers so that judgment cannot be granted on its findings. In those situations, the trial judge may direct that the action be retried with another jury. Rule 52.08 also states that "... where there is no evidence on which a judgment for the plaintiff could be based [...] the judge shall dismiss the action." [Emphasis added]

[19] The last provision of Rule 52.08(1) gives the trial judge the authority to dismiss the action where there was no evidence to support the jury's finding in favour of the plaintiff. The case of *Salter v. Hirst*, 2010 ONSC 3440, falls within this provision as the plaintiff called no evidence of causation and as a result, there was no evidence on which a judgment for the plaintiff could be based and the trial judge dismissed the action.

[20] The authority of the trial judge to dismiss the plaintiff's claim under Rule 52.08, if there is no evidence to support it, is not exactly the same as the common law authority of the trial judge to intervene in the two narrow exceptions, namely where the verdict is unsupportable at law or devoid of evidentiary support: see *Canadian National Railways v. Lancia*, *supra*; *Hill v. Church of Scientology of Toronto*, *supra*; *Fasfous v. Provigo Distribution Inc.*, *supra*; *Teskey v. Toronto Transit Commission*, [2003] O.J. No. 4546 paras 6 and 7; *Burlie v. Chesson*, [2001] O.J. No. 1960 (C.A.); and *Campbell v. Wolczak*, [2003] O.J. No. 2085 (Div. Ct.)

[21] The case before me is similar to the facts in *Teskey*, *supra*, where the jury had ignored the uncontradicted evidence called by the plaintiff of damages of some loss of future income as a result of injuries incurred in the accident. In the case before me, the uncontradicted evidence of the defence confirmed that the plaintiff will suffer some damages in the future.

[22] In *R. v. Teskey*, *supra*, the jury was instructed to assess the full amount of damages suffered by the plaintiff, regardless of their findings on liability. They awarded zero dollars for damages for both the tort of defamation and the tort of malicious prosecution. The failure to award for defamation, where some damages are presumed, is not applicable.

[23] However, the jury's failure to award damages for the tort of malicious prosecution is similar to the case before me. One of the recognized heads of damage under the tort of malicious prosecution is damage to property. This head of damage usually refers to financial loss due to mounting a defence or loss of earnings. In *Teskey*, *supra*, the uncontradicted evidence before the jury was that Mr. Teskey had incurred legal bills associated with the criminal charges he faced of \$2,140.00. This amount was not disputed and was an expense directly linked to the criminal proceedings commenced against him.

[24] In *Teskey*, *supra*, at paragraph 57, the trial judge found that the jury's award of zero dollars in damages was not supported by the uncontradicted evidence introduced by the plaintiff. In the case before me, the uncontradicted evidence supporting the plaintiff's loss of future income was introduced at trial by the defence. This is even stronger evidence than the uncontradicted evidence of the plaintiff and is essentially an acknowledgement or an admission by the defendant that the plaintiff will suffer some loss of future income.

[25] The case of *Teodorowych v. Pascal* (2002), 24 M.V.R. (4th) 181, leave to appeal to the S.C.C. refused, [2002] S.C.C.A. No. 287, referred to in *Teskey*, *supra*, involved a motor vehicle accident where the jury did not find negligence and assessed damages at zero. The Court of Appeal dismissed the appeal and held that the jury could draw reasonable inferences from the evidence and could totally reject the evidence of the plaintiff with respect to damages, as, the claim was based on credibility. This case is distinguishable from the facts before me because the jury must not only have made an adverse finding on the credibility of the plaintiff's evidence, but it also ignored the uncontradicted evidence of damages for future income loss from the defendant's expert witness. The defence evidence was independent from the plaintiff and was not related to the plaintiff's credibility.

[26] A similar conclusion was reached in the case of *Olszako v. Laroque*, (1998), 83 O.T.C. 49 (Gen. Div.) affirmed by (1999), 127 O.A.C. 162, where a jury award of zero dollars for loss

of future income was upheld as the damages were based on the plaintiff's credibility. The *Olszako* and *Teodorowych* cases do not deal with the situation where there is undisputed evidence with respect to damages that is not dependent on the plaintiff's credibility.

Salter v. Hirst

[27] In the case of *Salter v. Hirst*, 2011 ONCA 609, 107 O.R. (3d) 236, released on September 23, 2011, the Court of Appeal confirmed the trial decision of Eberhard J. The trial judge heard a motion under Rule 52.08(1)(c) and at paragraph 19 applied the test and stated as follows:

I remind myself that the test on appeal to set aside a verdict on the basis of perversity is not the question before me nor is the test identical to the rule 52.08 question of whether "there is no evidence on which a judgment for the Plaintiff could be based". Still, I would not, in my analysis of that question, find there was "no evidence". If there was some evidence, even if I found it unreasonable because of, for instance, a entire lack of credibility or reliability in a witness who gave the evidence.

[28] In the trial decision in *Salter, supra*, the trial judge concluded that there was no evidence of causation namely that the delay in transferring the patient caused the plaintiff's injuries. So even though there was evidence of negligence before the jury, there was no evidence of causation. The trial judge therefore dismissed the plaintiff's case notwithstanding the jury's finding of negligence and the jury's award of damages to the plaintiff.

[29] The facts in the *Salter* decision are different from those in the case before me because in *Salter*, the plaintiff failed to introduce any evidence of an essential ingredient for a finding of liability and as a result, there was no evidence "to support the jury's finding that the defendants caused the injuries". The facts in the case before me is not that there was "no evidence" of loss of future income damages, as the plaintiff and a number of expert witnesses including a functional abilities assessor, a vocational assessment by a rehabilitation psychologist, and the evidence of the forensic economist who gave evidence of the damages the plaintiff suffered for loss of future income. In addition and more importantly, the uncontradicted evidence of the defendant's own expert witness was that the plaintiff would suffer some of the future income loss.

Uncontested Defence Evidence of Future Loss of Income

[30] The plaintiff submits that even if the plaintiff's evidence was rejected by the jury as not being credible, the uncontradicted evidence of the defendants' expert witness confirmed the future loss by stating:

- (a) that in the accident the plaintiff had suffered a three pronged fracture into his elbow joint, with some loss of cartilage;
- (b) that the screw which had been inserted in the plaintiff's elbow joint should be removed, and that the plaintiff would be off work from two to four weeks following surgery for removal of the screw;

- (c) that the plaintiff was no longer able to work as a roofer (which involved hammering with his right hand), as a result of the injuries he suffered;
- (d) that the plaintiff had lost 30-40 per cent of the strength in his dominant right arm;
- (e) that there was a 5-10 per cent likelihood that the plaintiff would develop osteoarthritis in his elbow joint in the future which was high but not an assured thing;
- (f) this likelihood would increase if he repeatedly loaded this elbow; and,
- (g) that he should not lift heavy objects away from his body and that working as a mover was not advisable.

[31] The defendants submit that the jury could rely on the following evidence to conclude that the plaintiff would suffer no future loss of income due to the injuries to his elbow:

- (a) the income tax returns show that the plaintiff earned a very modest yearly income before the accident (before he was 19 years of age), and also earned a modest yearly income working primarily as a mover, in the years after the accident and before the trial;
- (b) evidence of the plaintiff that he worked as a mover in the years following the accident and before the trial, was confirmed by the plaintiff's testimony and by the video surveillance evidence; and
- (c)
 - (i) During his discovery, the plaintiff stated that he had worked as a roofer before the accident "on and off, whenever they needed an extra hand for cash" and also stated that "I didn't work enough for him to keep track." At trial, he testified that he had been working on a full-time basis as a roofer for cash from the fall of 2004 until the date of the accident.
 - (ii) The defendant submits that the jury could reject the evidence of Mr. Benjamin who had testified that he had employed the plaintiff as a roofer during the eight months before the accident for approximately 40 hours per week and paid him cash. That they could also reject the evidence of the plaintiff, his father, his brother, and his friend Brad Pelletier who all testified that the plaintiff had been working as a roofer before the accident.

[32] The defence submits that Dr. Axelrod's evidence that the plaintiff would lose income for the two to four weeks following the operation to remove the screw in his elbow, was mere speculation. I do not agree with this submission as Dr. Axelrod testified that the screw was causing the plaintiff pain and that he should have it removed. His evidence that the plaintiff would be off for two to four weeks was uncontradicted evidence.

[33] In cross-examination, Dr. Axelrod, the orthopaedic surgeon called by the defence, unequivocally testified that the plaintiff could no longer work as a roofer as a result of the injuries to his elbow suffered in the accident. He also testified that he should not lift heavy objects away from his body. The only inference to be drawn from this evidence is that the plaintiff should not work as a mover and if he did, it would increase the loading of his elbow and increase the probability that he would develop osteoarthritis in his elbow.

[34] Dr. Axelrod agreed that the plaintiff had suffered a loss of strength of between 30-40 per cent in his dominant right arm. He further admitted that there was a 5-10 per cent possibility of developing osteoarthritis in the elbow joint, which he described as high, but also testified and that this percentage would increase if the plaintiff subjected the elbow to heavy loading.

[35] The defence submits that notwithstanding that the plaintiff's grip strength in his right arm was reduced to 90 lbs versus 120 lbs in his left arm, that 90 lbs was an adequately strong grip strength for most individuals. The defence also submitted that the plaintiff was able to lift statically and that the plaintiff was able to work as a mover as he testified and as the video surveillance demonstrated. The plaintiff had testified that he worked as a mover with his father and brother for a number of years prior to the accident and worked as a mover for a number of years following the accident.

[36] The other unique circumstance of the plaintiff is that he suffered from a pre-existing severe learning disability as a result of having been born with a cleft palate. He was only able to complete Grade 8 at school and dropped out of Grade 9 without having completed any courses in Grade 9.

[37] The uncontradicted evidence of Dr. Scherer, the only rehabilitation psychologist who gave evidence was as follows:

- (a) that the plaintiff could not return to school and be retrained for some other trade due to his learning disability;
- (b) that the plaintiff suffered a competitive disadvantage as a result of the reduced strength in his dominant right hand;
- (c) that the plaintiff had a modest number of vocational options available to him due to the injury to his elbow and his learning disability;
- (d) that the plaintiff was spelling at a Grade 4 level and his reading and mathematics were at a Grade 5 level;
- (e) that roofing was out of the question and he would need a light duty job. He further testified that but for the injuries in the accident, he did not see any reason why the plaintiff could not have worked as a roofer or framer.

[38] It is not the role of the trial judge to weigh evidence or to determine whether the jury decision in this regard was perverse or unreasonable as those are questions for the Court of

Appeal. The role of the trial judge is a narrow one limited to circumstances where there is no evidence or where the jury's finding was unsupportable at law on which the jury could come to their conclusion of zero damages for loss of future income. Another way of expressing this is if the jury's failure to award future loss damages was devoid of evidentiary support.

[39] The narrow circumstance for a trial judge to intervene where there is "no evidence" for the award of "no damages" for future income loss contains a double negative. I find that if the test was in the positive it would be as follows where there is uncontradicted and uncontested evidence of damages of future income loss which is not based on the plaintiff's credibility. This was essentially the basis of the decision in *Teskey, supra*, where the damages were uncontradicted and uncontested.

Evidence Before the Jury, Relied on by the Defence, to Support the Award of Zero Damages for Future Loss of Income

[40] The defendant submits that the jury could ignore its expert witness' evidence of future income losses and award zero damages for future loss of income based on the following evidence of the plaintiff:

(a) *Income before and after the accident*

- (i) The evidence of the plaintiff's income tax returns both before and after the accident and before the trial show that he earned a modest income before the accident and a similar modest amount in the years following the accident. The amounts earned were as follows:

2001 - \$4,000	2002 - \$12,235	2003 - \$13,901	2004 - \$9,796
2005 - \$2,521 (year of accident)	2006 - \$ 2,000	2007 - \$14,934	2008 - \$12,137
2009 - \$7,273			

The income earned by the plaintiff was modest from when he started working at age 15 or 16 up until the trial. The plaintiff was injured for the last seven months in 2005 and did not start working again until the fall of 2006. He testified that he worked for cash while roofing in part of 2004 and 2005. This evidence is consistent with the very low incomes reported in these years.

- (ii) The fact that the plaintiff, as a Grade 8 graduate who commenced work at age 15 with no skills, did not earn substantial income is not surprising. The low income reported on his tax returns is evidence that the jury could have considered to negatively affect his credibility namely, that he worked for cash and did not declare all of the income earned, or alternately they

could have inferred that he was not making a full effort to obtain better employment before the trial.

- (iii) However, this evidence does not contradict the defence evidence that he could no longer work as a roofer and earn \$15.00 per hour, which would amount to an annual income of approximately \$30,000 per year (assuming 2,000 working hours per year (50 weeks at 40 hours per week) and assuming he was always fully employed). This evidence also does not contradict the defence evidence that the plaintiff would be off work from two to four weeks after the screw was removed or that he had a 5-10 per cent possibility (which increased if the plaintiff repeatedly loaded the elbow) of developing osteoarthritis in the future and would lose future income as a result.

(b) Could work as a mover

- (i) The defence submits that the plaintiff testified that he worked as a mover after the accident as confirmed by the video surveillance. Therefore, the jury could have inferred that the plaintiff would suffer no future loss of income.
- (ii) This evidence like the evidence of the plaintiff's modest income may have affected the plaintiff's credibility but does not contradict the evidence of Dr. Axelrod that the plaintiff could no longer work as a roofer, that there was a 5-10 per cent chance of developing osteoarthritis in his elbow and this would increase with heavy loading of the joint, or contradict the evidence that the plaintiff would lose two to four weeks of salary when recovering after the screw was removed from his elbow.

(c) Evidence that the plaintiff worked as a roofer before the accident

- (i) The defence submits that the jury could choose to disbelieve the evidence of the plaintiff and Mr. Benjamin about the amount of time he spent working as a roofer. The plaintiff had stated on discovery that he had been working as a roofer for two years before the accident, "on and off, whenever they needed an extra hand for cash" and also "No I didn't work enough for him to actually keep track." The discovery evidence was not corrected before trial and contradicted the plaintiff's evidence at trial and that of his employer Mr. Benjamin that he had worked as a roofer for about eight months before the accident on a full-time basis earning \$15.00 per hour on a cash basis. This evidence affects the plaintiff's credibility but is not evidence that supports a finding of zero dollars for future income loss as it does not contradict the evidence of Dr. Axelrod.
- (ii) While this evidence affects the plaintiff's credibility, it is uncontradicted to the extent that he worked as a roofer at least on a part-time basis for Mr. Benjamin before the accident. Whether the plaintiff chose to downplay the number of hours he worked for Mr. Benjamin to minimize the extent of his fraud on the income tax department or to protect Mr. Benjamin from an income tax audit or whether he had only worked for Mr. Benjamin on a part-time basis are issues affecting the plaintiff's credibility. They do not contradict the defence evidence of Dr. Axelrod.

(d) Move to Arnprior

- (i) The defence also suggested that the reason the plaintiff's income was so low following the accident was because he had moved to Arnprior and had a young child. The defence also suggested that he may not have been able to get work in Ottawa as he did not obtain his driver's licence until 2009.

This may have reduced his pre-trial income and may have been reflected in the jury's reduced award for pre-trial lost income. In any event, this evidence would only have applied until 2009. The plaintiff had offered the explanation that he obtained a drive into work from his partner's father.

- (ii) In any event, this evidence may have been relied on by the jury to reduce the award for pre-trial income loss but there was no evidence that living in Arnprior (approximately 30 minute drive from Ottawa) or having a young child was evidence that the plaintiff would not suffer future income loss as a result of injuries in the accident. This evidence did not contradict the evidence of Dr. Axelrod.

Loss of a Capital Asset

[41] In *Lazare v. Harvey*, 2008 ONCA 171, the majority of the Court of Appeal considered whether a jury's failure to award damages for future income loss was unreasonable. The majority concluded that the jury's award was not unreasonable because there was evidence that the plaintiff continued to achieve success in her job with Rogers, who had promoted her twice, and where she continued to earn a good income following the accident, notwithstanding the serious injuries to her leg.

[42] In *Lazare, supra*, the Court of Appeal referred to the Supreme Court's decision in "*M.B. v. British Columbia*, [2003] 2 S.C.R. 477 at para. 47, for the unchallenged principle that "an award for loss of earning capacity is intended to compensate for the loss of an asset, the capacity to earn." [Emphasis in original.]

[43] The uncontradicted evidence before the jury was that the plaintiff could no longer work as a roofer as a result of the injuries; as he had been working as a roofer at least on a part-time basis before the accident; a roofer would earn \$304,000 more than a non high school graduate, and \$69,000 more than a mover (\$304,000 - \$235,000); that he was not retrainable for employment in a non heavy labour field due to his learning disability; and, there was a 5-10 per cent probability of getting osteoarthritis in his elbow. Based on the above uncontradicted evidence the plaintiff suffered a loss of his capital asset, namely his capacity to earn income, as a result of the injury he suffered.

Disposition on Issue #1

[44] I find that the jury's award of zero damages for loss of future income was devoid of any evidentiary support even if they discounted the plaintiff's evidence completely as the uncontradicted evidence of the defendant confirmed that the plaintiff would suffer some loss of future income.

Issue #2 Was there no foundation in law for the jury's award of zero damages for loss of future income?

[45] Dr. Axelrod testified that the plaintiff could no longer work as a roofer as a result of his injuries. The uncontradicted evidence before the jury was that the plaintiff was working at a

minimum on a part-time basis as a roofer before the accident and the defence expert evidence confirmed that this employment was no longer available to the plaintiff. The plaintiff's expert evidence was also uncontradicted; that based on Statistics Canada data, roofers in the Ottawa area earned \$304,000 more over their lifetime than other non high school graduates living in the Ottawa area.

[46] In my instructions to the jury they were directed to follow the approach established by the Ontario Court of Appeal in *Schrump et al. v. Koot et al.*, (1977) 18 O.R. (2d) 337. In *Schrump*, the medical evidence had placed the possibility of disabling arthritis at somewhere between 33 and 50 per cent. The Court of Appeal held that this amounted to a "risk, danger or likelihood" that the respondent would suffer future loss of income as a result of future medical problems.

[47] The correct approach for the jury to follow when determining whether there is a future loss of income is to proceed as follows. Firstly, they must determine whether there is a real and substantial possibility that the plaintiff will suffer or incur a loss of future earning capacity as a result of injuries sustained in the accident.

[48] In this case, the only evidence before the jury was that the plaintiff could not work as a roofer and should not work as a mover without increasing the possibility to develop osteoarthritis in his elbow joint from additional loading. Dr. Axelrod testified that the possibility of arthritis developing in his elbow was between five and ten per cent. If the plaintiff developed osteoarthritis in his elbow, then the only reasonable inference is that there would be a loss of future earning capacity if and when this occurred. Therefore, the only evidence before the jury is that there was a real and substantial possibility that the plaintiff would incur some loss of future earning capacity.

[49] The second step is to calculate the total loss of future income suffered as a result of the injuries. The third step is then to determine the actual likelihood based on the evidence that the future loss will in fact be incurred by the plaintiff. This involves applying a percentage possibility that the plaintiff will in fact incur a loss of income in the future.

[50] The defence expert testified that the plaintiff should have the screw removed from the elbow joint to alleviate the ongoing pain and that he would be unable to work for two to four weeks following the surgery. This evidence was uncontradicted. The only evidence before the jury was that the plaintiff had 100 per cent probability of being unable to work as a roofer. Dr. Axelrod also testified that the likelihood that the plaintiff would develop osteoarthritis in his elbow was between five to ten per cent which he said was high and that this percentage would increase if the elbow was consistently loaded.

[51] Given the uncontradicted evidence that the plaintiff suffered from a severe learning disability and was not retrainable for other non heavy labour related employment, there is a real and substantial possibility that the plaintiff would incur a loss of future earning capacity. The percentage is at a minimum five to ten per cent but this would increase if he worked as a mover, and loaded his elbow which was the type of work he performed following the accident.

[52] The only conclusion that I can come to based on the uncontradicted evidence before the jury, particularly that of the defence expert witness, is that there was a real and substantial possibility that the plaintiff would incur a future loss of income. The percentage is a very high percentage possibility for the loss of income for two to four weeks following removal of the screw, and a very high percentage possibility of essentially 100 per cent that he was unable to work as a roofer. The actual likelihood that the plaintiff would develop osteoarthritis and incur a loss of future income was five to ten per cent and a greater percentage if there was consistent loading of the elbow, which would occur from working as a mover.

Disposition on Issue #2

[53] By ignoring the uncontradicted defence evidence, I, therefore, conclude that the jury's decision awarding zero damages for loss of future income failed to follow the directives set out in *Schrump, supra*, as outlined in my charge. As a result, I find there is also not the proper foundation in law for the jury's award of zero damages for loss of future income.

Issue #3 Should I assess the plaintiff's damages or order a new trial?

[54] Rule 52.08(1)(c) gives the trial judge the authority to order a new trial in a number of possible situations including if the jury gives conflicting answers "to the questions". The only answer that the jury's answer could conflict with is their award of \$3,000 for future care costs. There was evidence that the plaintiff could develop osteoarthritis and would have needed physiotherapy and possibly assistance with some household activities.

[55] The second part of Rule 52.08(1)(c) gives the trial judge authority to dismiss the plaintiff's claim if there was "no evidence" to support the jury's verdict. The Rule does not state that if there is no evidence to support a jury's award of no damages, or stated without the double negative if there is "uncontradicted evidence of damages" then the judge may assess the damages or order a new trial.

[56] In this case, the jury was discharged and it is no longer an option to have them reconsider their answer with additional directions. The *Rules* are to be liberally construed to secure the just, most expeditious and least expensive determination of the merits.

[57] In the absence of a specific direction in Rule 52.08(1)(c) as to the appropriate action to be taken by a trial judge where the jury has ignored uncontradicted defence evidence of loss of future income. I rely on the common law authority of the trial judge to intervene where there is no evidence to support the jury's award of no damages and where their award is unsupportable at law. In order to secure the most just, most expeditious and least expensive outcome for all of the parties, I will proceed to assess the damages for loss of future income rather than directing a new trial.

Assessment of the Plaintiff's Damages for Loss of Future Income

[58] I will assess the damages for loss of future income based on the evidence that I have heard at trial. I will not speculate as to how the jury would have assessed damages if they had followed the *Schrump, supra*, approach and accepted the uncontradicted defence evidence when

they assessed the damages for loss of future income. The jury gave no reasons and as a result, I am unable to speculate as to why they made the finding they did.

[59] I will assess damages as if I had been sitting as a trial judge without a jury. If I am mistaken in refusing to enter the jury's award of zero dollars, then this assessment may be of assistance to the parties and may avoid the expense of a new trial.

[60] When assessing the damages for loss of future income, the first question which must be answered is: Was there a real and substantial possibility that the plaintiff would have worked as a roofer but for the injuries suffered in the accident?

[61] The plaintiff testified at trial that he had worked as a roofer earning \$15.00 per hour for approximately 35-40 hours per week during the eight months prior to the accident. His evidence that he had been working as a roofer before the accident was corroborated by his employer Mr. Benjamin, his father, his brother Jason, and his friend Brad Pelletier. The plaintiff testified that he enjoyed the work and progressed from cleaning up the shingles to removing old shingles from the roof, to finally installing shingles on roofs. The plaintiff also testified that he had planned to set up his own roofing business and had in fact purchased some equipment that was necessary to operate as a business as a roofer.

[62] The plaintiff however gave a slightly different answer on discovery when asked about working as a roofer prior to the accident. He answered that he was working as a roofer "on and off whenever he needed an extra hand" and when asked if Mr. Benjamin kept records of hours of his employment he said "I didn't work enough for him to actually keep track".

[63] The plaintiff testified that he was working for cash and was not declaring the income that he earned while working as a roofer. I find that the plaintiff's evidence at trial was credible and was not shaken on cross-examination. However, he did give a misleading answer on discovery, possibly to cover his fraudulent action of failing to declare the income he earned for income tax purposes. The plaintiff declared income of slightly greater than \$2,000 for 2005. This evidence is consistent with the plaintiff having worked for cash as a roofer during this period from January 1, 2005, until June 4, 2005, when the accident occurred. When he worked as a mover at Adams Moving, he was earning between \$7,000 and \$14,000 per year. His income for 2004 was also low namely \$9,796 which is consistent with his working for cash as a roofer for Mr. Benjamin starting in the fall of 2004.

[64] The strongest evidence supporting the plaintiff's evidence that he worked as a roofer for the eight months before the accident was that of his former employer, Mr. Benjamin. I found that Mr. Benjamin gave evidence in a very forthright manner and was not undermined in any way on cross-examination. He did not present any business records, but he testified he paid the plaintiff in cash every Friday. He testified that he was certain that the plaintiff had worked for him for those hours because the plaintiff was living with him and going out with his daughter at the time. His evidence corroborated that of the plaintiff that he progressed from removing shingles and cleaning around to actually installing shingles on a roof.

[65] Mr. Benjamin testified that he provided as a receipt in exchange for cash payment every Friday. Mr. Benjamin confirmed that there was no apprenticeship or requirement to obtain a college diploma. He testified that the plaintiff would still be working for him if he had not had the accident. Mr. Benjamin further testified that he went to the hospital in Ottawa to see the plaintiff with his daughter the next morning following the accident, when Kyle was transferred to the Ottawa Civic Hospital. This evidence indicates that Mr. Benjamin was close to the plaintiff at that time and supports his evidence that he was employed by him.

[66] The plaintiff's evidence was further supported by the evidence of his father. His father testified he had worked as a roofer for several months before the accident. His father testified that the chance that his son would have set up his own roofing business was just a possibility as he testified that it was one thing to have an idea and it's another thing to actually be able to implement it. He also testified that he did not believe his son was capable of running his own roofing business. His admission against his son's financial interest made his evidence very credible and believable.

[67] I find that on a balance of probabilities and based on the uncontradicted evidence of Mr. Benjamin, his father, his brother and Brad Pelletier, and to a lesser degree on the plaintiff's own evidence given his contradiction on discovery, I find that the plaintiff had worked as a roofer for the eight months prior to the accident in the matter that Mr. Benjamin testified.

[68] I further find that even if the plaintiff's discovery evidence was accepted namely, that he was working as a roofer on a part-time basis, I find there was a real and substantial likelihood that the plaintiff would have continued working as a roofer but for the accident. I find that the possibility that the plaintiff would be able to operate his own business is very remote based on his limited educational background, his learning disability, his verbal weakness, and based on Mr. Benjamin's evidence that he was not able to deal with customers at this stage. I also find that he would have difficulty keeping business records and the accounting required to operate a business given his limited mathematical skills.

[69] The likelihood that the plaintiff would have continued working as a roofer or have worked as a roofer but for the accident is essentially 100 per cent as I have accepted the evidence of Mr. Benjamin and the plaintiff that he was working as a roofer on a full-time basis for seven to eight months before the accident. The plaintiff is a big strong man and was physically capable of working as a roofer before the accident. The plaintiff had a serious learning disability which meant he could not complete any grade at high school and would not have been able to qualify for a skilled trade. The work as a roofer did not require any further formal training and as a result he was well suited for this work. The uncontradicted evidence is that he was earning \$10.00 per hour as a mover and \$15.00 per hour as a roofer. The likelihood that he would continue working in an area where he made the greater income and work that he enjoyed was very high.

[70] I also find that there was a substantial possibility that the plaintiff would have worked as a mover as his father and brother worked as movers, he had worked as a mover for several years before the accident, and he had the required strength, and this type of work also did not require him to take any formal academic training to work in this field.

[71] The uncontradicted evidence of the forensic accountant, Cara Brown, was that if the plaintiff had been able to work as a roofer on a full-time basis, he would have earned \$304,000 more than what he would have earned as a non high school graduate. I find that the plaintiff was able to work on a full-time basis and would not have been limited to working on a part-time basis notwithstanding his evidence that he was in pain and fatigued after working each day.

[72] The award for a loss of future earning capacity is to compensate the injured party for the loss of an asset, namely the capacity to earn income. The plaintiff has been rendered less capable of earning income from employment that requires extensive use of his right arm and elbow as a result of the accident. Due to his pre-existing severe learning disability, he is not retrainable for other non physical types of employment.

[73] The plaintiff's reduced marketability is not really as significant as his complete inability to work as a roofer. Because of his unique circumstances with a pre-existing severe learning disability, there is no evidence of any other identified employment where he could earn as much income as he could have earned as a roofer. The plaintiff would also be less marketable to be hired to work as a mover due to the reduced strength in his right arm and his inability to lift objects above his head, which occurs when heavy objects such as furniture is moved down stairways. I find that the plaintiff would be less valuable in the workforce as a result of being unable to work as a roofer.

[74] I am not persuaded on a balance of probabilities that the plaintiff has suffered any brain injury as a result of the second concussion that will affect his ability to earn income in the future as a mover. The learning disability which prevents him from retraining and from completing high school was a pre-existing condition.

[75] I am satisfied on the balance of probabilities that the plaintiff could also work as a mover as he has worked in this capacity since the accident, albeit with some pain and some accommodation by this employer because he is able to work with his father and brother. His father and brother do the heavy awkward lifting. The plaintiff's weakness in his right arm and his inability to lift heavy objects above his head affect his marketability as a mover to some degree. The plaintiff's father and brother may not always be there to assist and accommodate his weakness in his right arm while moving.

[76] In addition, if the plaintiff works as a mover, he will further load his right elbow on a consistent basis and as Dr. Axelrod testified, this would increase the chance of him developing osteoarthritis above the 5-10 per cent. The evidence of the plaintiff's orthopaedic surgeon was also very credible and he testified that in his opinion the chance of developing osteoarthritis in the elbow joint was greater than 50 per cent. I infer that if osteoarthritis develops in his elbow, that this would prevent the plaintiff from lifting heavy objects and prevent him from working as a mover. Based on the opinions of both orthopaedic surgeons, I find that if he continued working as a mover, that his chance of developing osteoarthritis in his elbow which would prevent him from working as a mover would be a 20 per cent probability.

[77] The uncontradicted evidence of the economist, Ms. Brown, was that the plaintiff would suffer a loss of \$304,000, before gross up for income taxes, as a result of not being able to work

as a roofer. His future income loss if he was unable to work as a mover would be \$235,000 before gross up. Both of the above amounts were calculated when compared to the statistical earnings in Ottawa for a non high school graduate.

[78] I have found that the plaintiff is able to work as a mover however, there is a 20 per cent probability that he would develop osteoarthritis and not be able to work as a mover for his full work life. Applying a 20 per cent probability to \$235,000 figure results in an amount of \$47,000, which would be an amount of damages for future loss of income if he continued to work as a mover. This would be the actual percentage of future income loss the plaintiff would suffer if he continued to work as a mover, after accounting for the percentage likelihood that the loss would in fact be suffered.

[79] I find that the actual loss of future income suffered by the plaintiff would be the difference between what he could have earned as a roofer but for the accident of \$304,000 and the adjusted amount that he could earn as a mover. From the sum of \$235,000, which is the amount he would have lost, if he could not work as a mover, I deduct the 20 per cent probability or \$47,000 for the possibility he would have developed osteoarthritis. This reduces the amount of income that he would earn above that of a non high school graduate from \$235,000 to \$188,000 (\$235,000 - \$47,000).

[80] The plaintiff's loss of future income for being unable to work as a roofer would be the difference between his total loss for being unable to work as a roofer (\$304,000) and the adjusted loss of income that he would suffer as a result of a shortened work life as a mover (\$188,000). The total loss of future income that the plaintiff will suffer is therefore for being unable to work as a roofer is \$116,000 (\$304,000 - \$188,000).

[81] When calculating the above amounts, the economist, Ms. Brown, applied contingencies for unemployment ranging from 3.9 per cent to 10.7 per cent, a disability contingency ranging from 1.133 per cent to 6.799 per cent, a mortality contingency, and she assumed a retirement age of 63. She used the "real" interest discount rate of 0.5 per cent for the first 15 years and thereafter 2.5 per cent was used in accordance with Rule 53.09(1)(b). I find that these contingencies and assumptions were reasonable.

Disposition

[82] I therefore award the plaintiff damages for loss of future income incurred as a result of injuries suffered in the accident of \$116,000. To this amount, I add the sum of \$1,200 as the estimated income loss for being off work for three weeks after surgery to have the screw removed from the plaintiff's elbow. (\$10.00 per hour for 40 hours per week is \$400 per week)

[83] For the reasons given above, I find that there was no evidence to support the jury's award of zero dollars for loss of future income and its finding on this regard devoid of any evidentiary support and unsupportable in law. I find that the jury could not ignore the uncontradicted evidence of the defence confirming that the plaintiff had suffered some loss of future income as a result of the injuries he suffered in the accident.

[84] The plaintiff's motion to refuse to enter judgment of zero dollars for future loss of future income is granted. I assess the plaintiff's total damages for loss of future income at \$117,200 before gross up for income taxes.

[85] The parties may make written submissions on whether their amount should be grossed up for income taxes and on the issue of costs. The plaintiff shall have fifteen (15) days to make submissions, the defendant shall have fifteen (15) days to respond and the plaintiff shall have seven (7) days to reply.

R. Smith J.

Released: December 8, 2011

CITATION: McLean v. Knox, 2011 ONSC 7298
COURT FILE NO.: 07-CV-037111
DATE: 2011/12/08

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

KYLE McLEAN

Plaintiff

– and –

MATTHEW EDWARD KNOX, JUDITH KNOX,
1197584 ONTARIO INC., carrying on business as
FINNIGAN'S ROADHOUSE, and THE PERSONAL
INSURANCE COMPANY

Defendants

– and –

PEMBRIDGE INSURANCE COMPANY

Statutory Third Party

**REASONS FOR DECISION ON THE MOTION TO
REFRAIN FROM ENTERING JUDGMENT OF
ZERO DOLLARS FOR FUTURE INCOME LOSS
AS DETERMINED BY THE JURY**

R. Smith J.

Released: December 8, 2011